



ILLUSTRATION BY RAJ VERMA

capital. These efforts are looking to position India as a credible manufacturing and innovation hub, an appealing “China Plus One” alternative.

FDI AND CAPITAL FLOWS

Countries perceived as protectionist or unstable risk become less attractive to foreign investors. In contrast, regions perceived as stable and as allies are benefitting. Southeast Asian countries like India, Vietnam, and Indonesia are seeing increased FDI as companies diversify supply chains

away from China. Strategies like reshoring (bringing production home), nearshoring (relocating to nearby countries) and friend-shoring (investing in allied nations) are becoming common.

India is proactively aligning with these trends. It is leveraging its strengths as the “back office of the world” and working to embed itself in emerging global value chains. Trade agreements such as the India-UAE Comprehensive Economic Partnership Agreement, along with

ongoing negotiations with the UK, the EU and Australia, reflect this effort. Importantly, government-to-government ties are increasingly influencing capital flows, particularly from sovereign funds and multilateral institutions, a trend now visible in global capital allocation patterns.

FINANCIAL MARKETS

Financial markets react sharply to protectionist shifts. US Investor allocation to international equities used to be 22-24% in 2016. By 2025 this had dropped to 16-18%. A “flight to safety” contributed to sharp rise in gold prices, while announcements of tariffs, sanctions and subsidies increased market volatility.

Another complexity has emerged from the intersection of protectionism and Environmental, Social, and Governance (ESG) investing. ESG had been a growing global priority, aligning capital with sustainable and responsible business businesses. However, recent US policy shifts around climate and diversity have put ESG in a “wait and watch” mode. This uncertainty is stalling momentum in areas previously seen as vital for long-term value and global good.

The resurgence of protectionism is reshaping the global investment landscape. Investors must adapt to a world where economic nationalism, not just market efficiency, will drive policy and capital flows. We are likely to see the return of home bias, safe-haven and ally investing.

In this evolving global order, India stands at a unique inflection point. With the right policies and partnerships, it can become a key recipient of global capital and a central partner in the next phase of global growth, one that is more sustainable and offers strategic diversification. **BT**

Views are personal